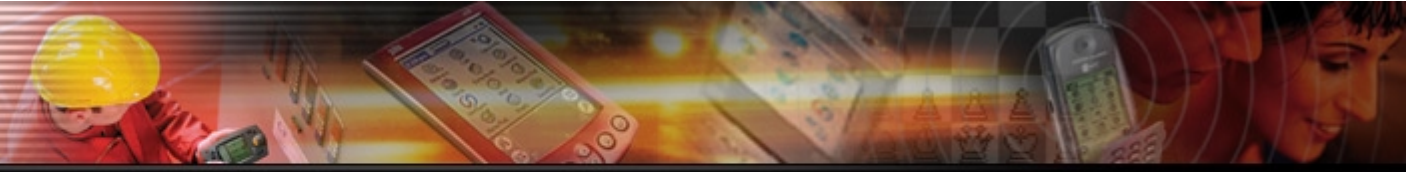
PalmSource®
Conference and Expo



Mobile Computing Industry Vision

David Nagel
President and CEO
Palm OS Subsidiary



Where We Are

Where We Are Going

How We'll Get There

The Original PalmPilot™ Handheld





One launched a new industry…


palm powered



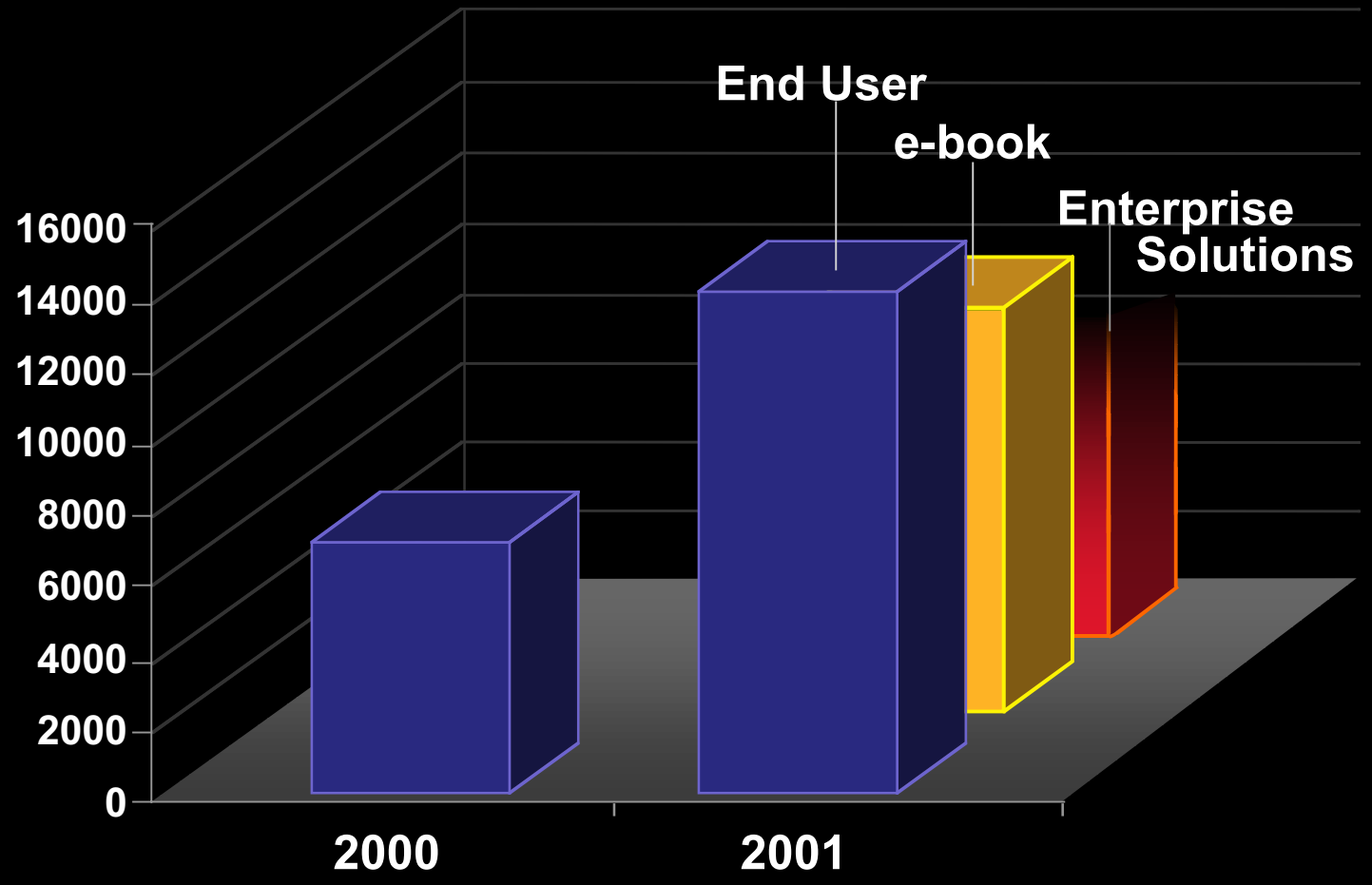


Over 20 Million Sold

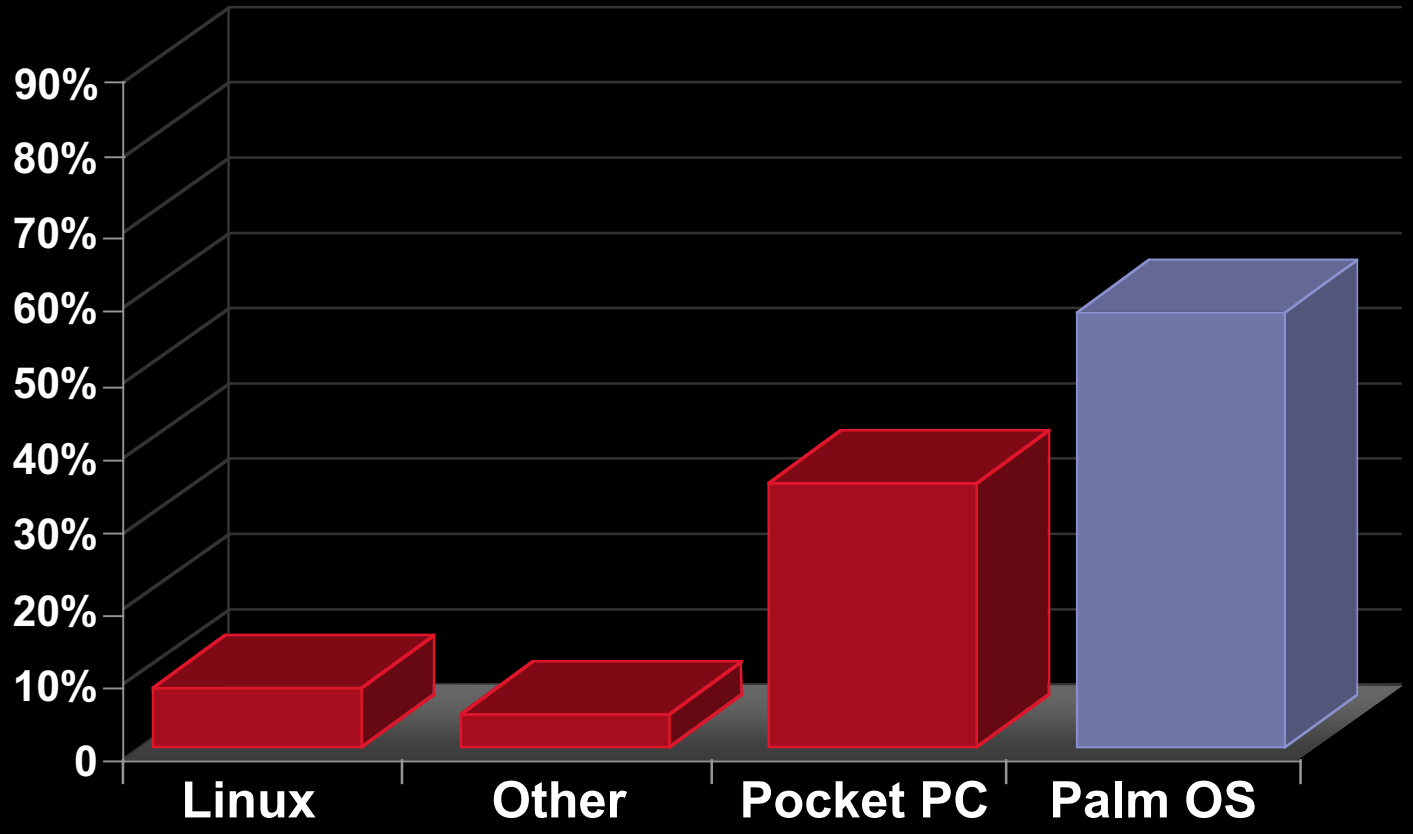
Palm OS Developers



Palm OS® Applications

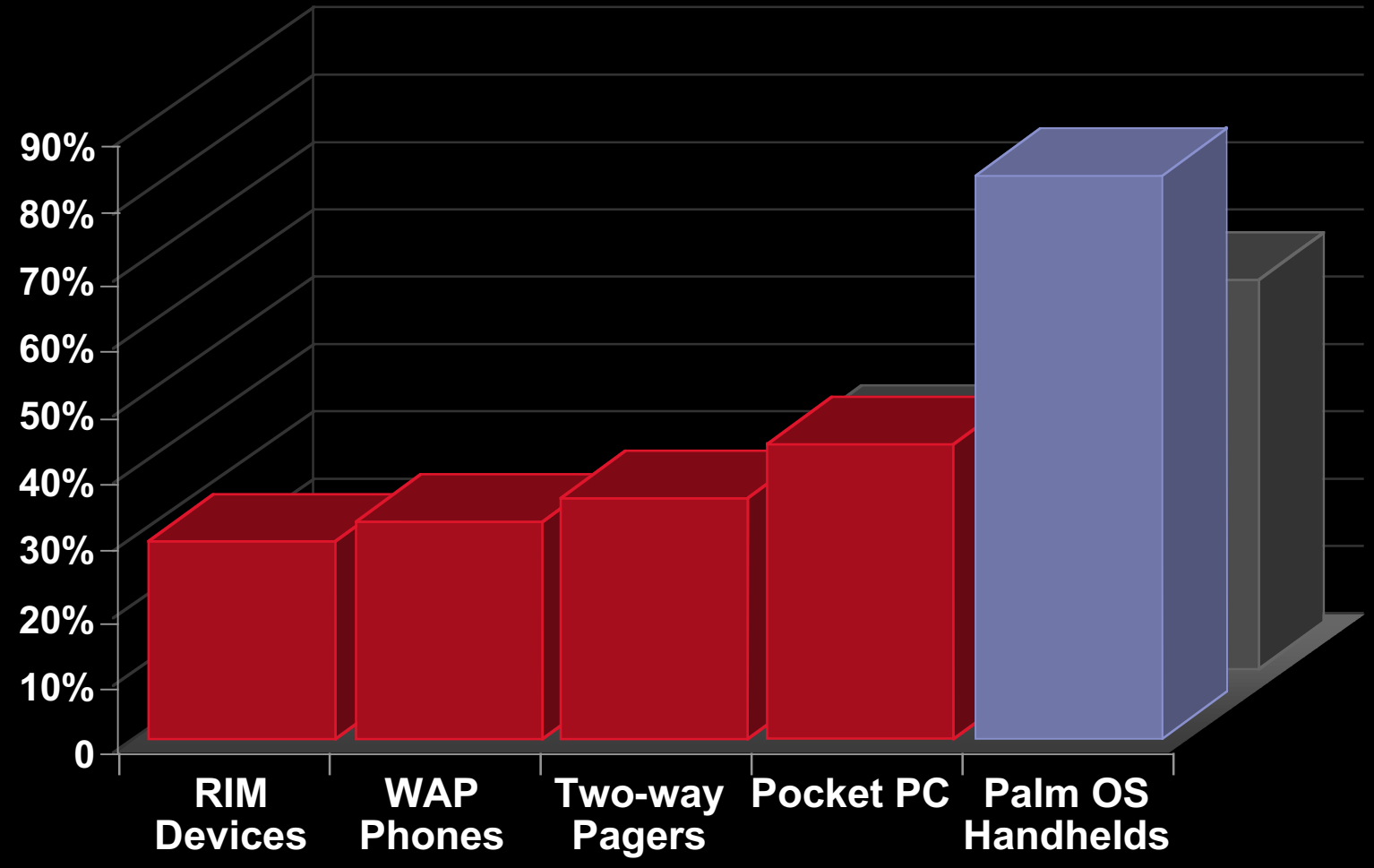


Palm OS® as an Enterprise Standard



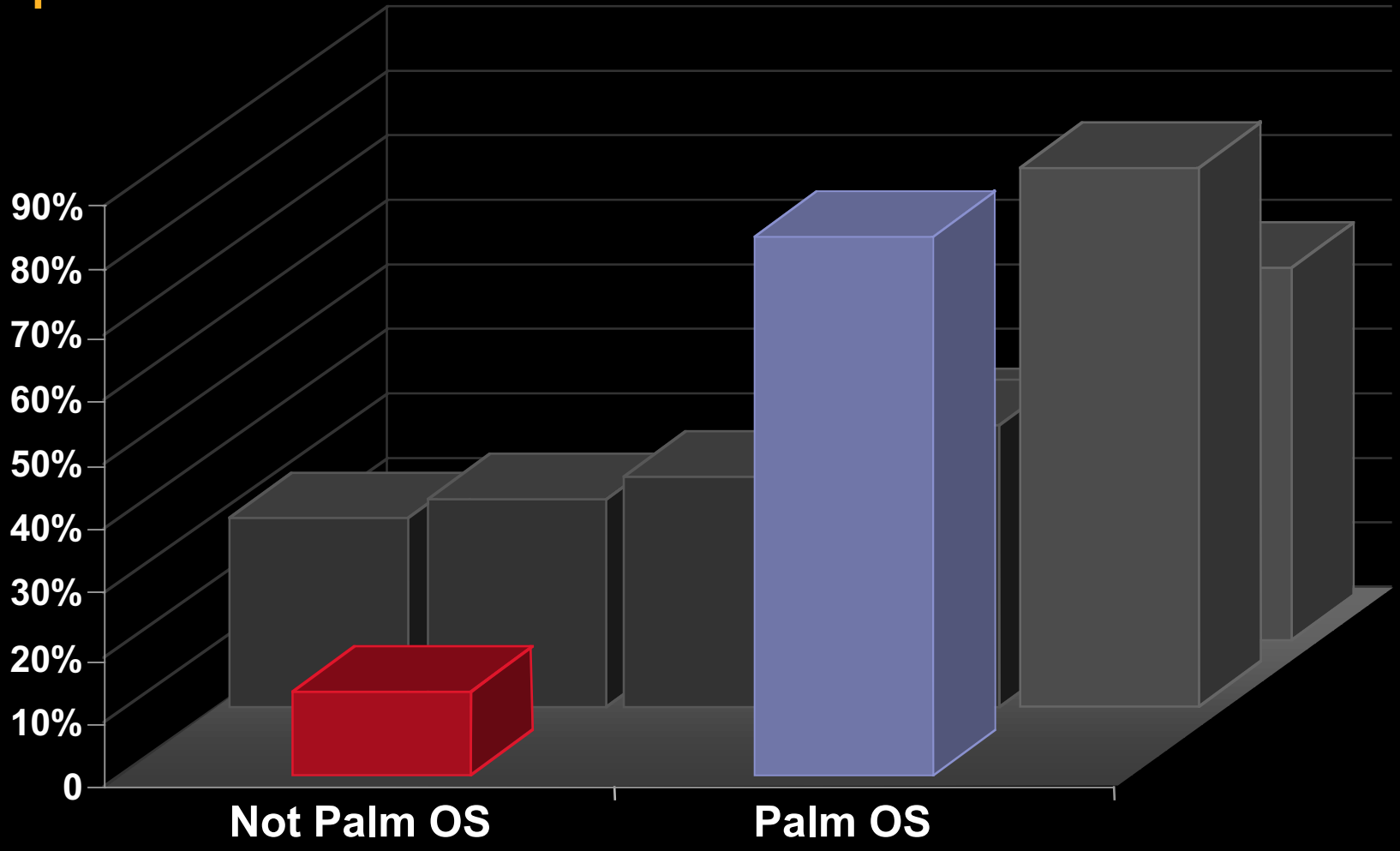
* Source: IDC 2001

Palm OS as an Enterprise Standard



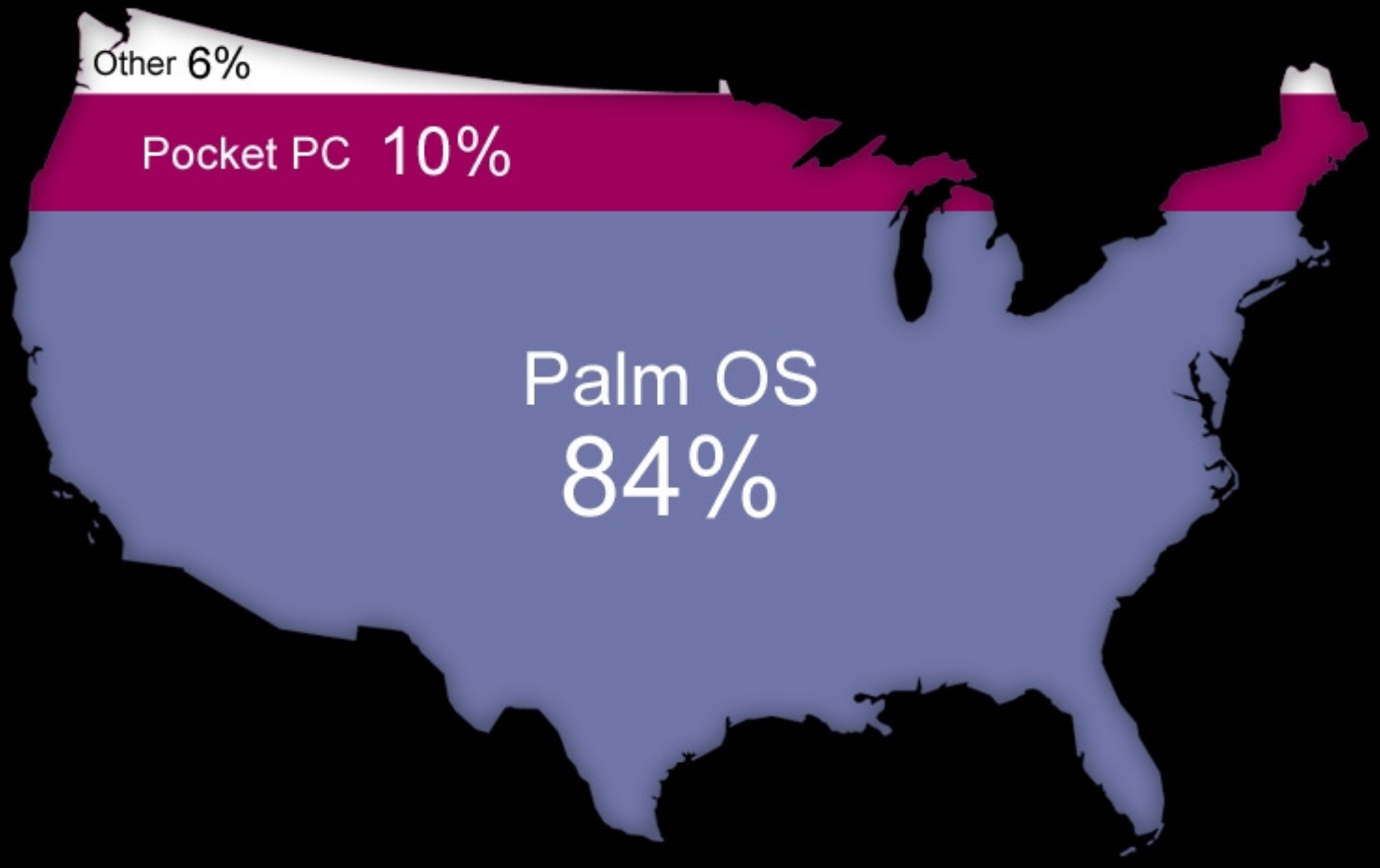
* Source: Jupiter Research 2001

Palm OS as an Enterprise Standard



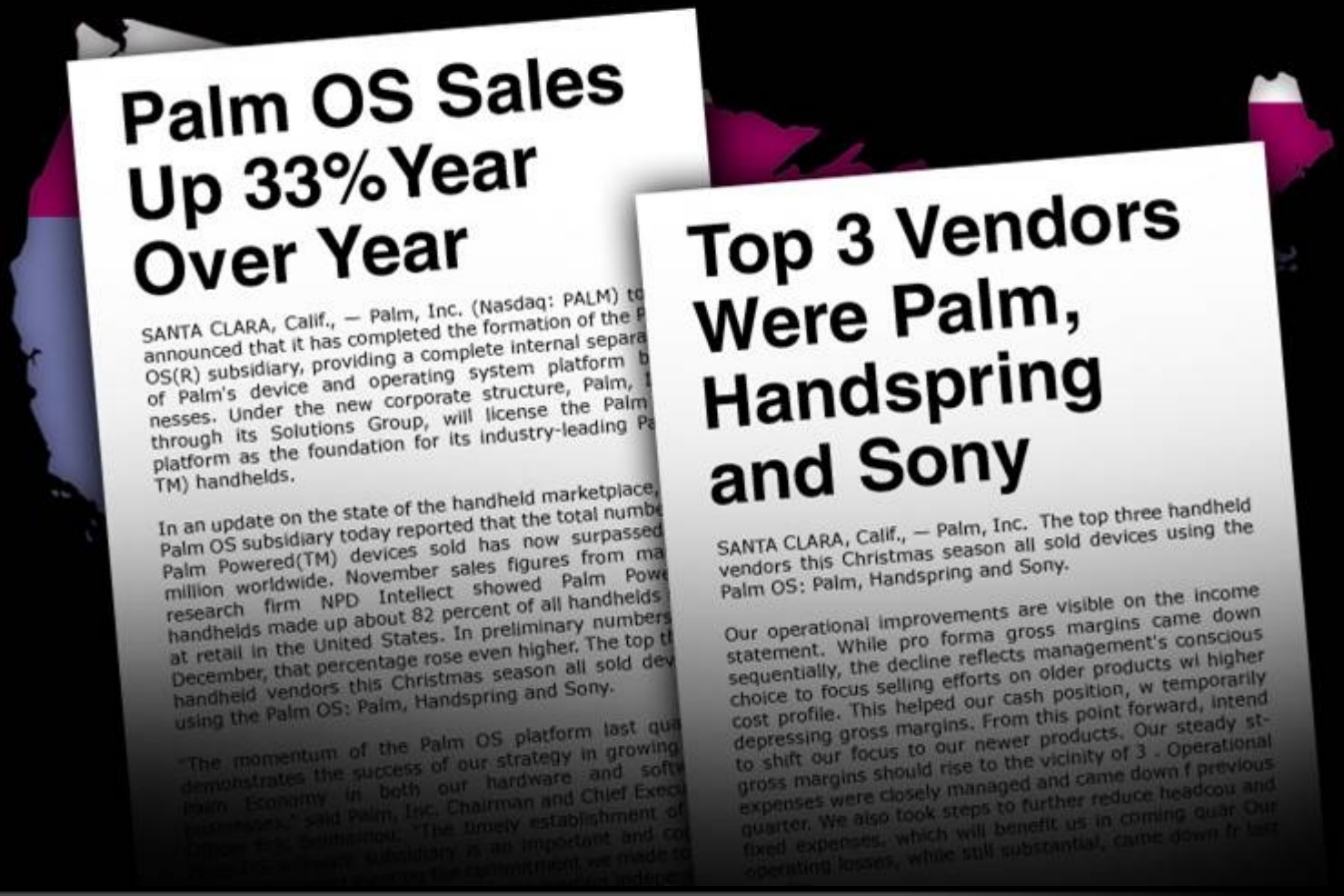
* Source: Winn Technology 2002

Palm OS Retail Sales



* Source: NPD, 2/02

Palm OS Retail Sales



Palm OS Sales Up 33% Year Over Year

SANTA CLARA, Calif., — Palm, Inc. (Nasdaq: PALM) to
announced that it has completed the formation of the P
OS(R) subsidiary, providing a complete internal separa
of Palm's device and operating system platform b
nesses. Under the new corporate structure, Palm,
through its Solutions Group, will license the Palm
platform as the foundation for its industry-leading Pa
TM) handhelds.

In an update on the state of the handheld marketplace,
Palm OS subsidiary today reported that the total numbe
Palm Powered(TM) devices sold has now surpassed
million worldwide. November sales figures from ma
research firm NPD Intellect showed Palm Powe
handhelds made up about 82 percent of all handhelds
at retail in the United States. In preliminary numbers
December, that percentage rose even higher. The top t
handheld vendors this Christmas season all sold dev
using the Palm OS: Palm, Handspring and Sony.

"The momentum of the Palm OS platform last qua
demonstrates the success of our strategy in growing
Palm Economy in both our hardware and softw
businesses," said Palm, Inc. Chairman and Chief Execu
Officer [illegible]. "The timely establishment of
Palm OS subsidiary is an important and co
[illegible] the Palm OS platform we made to
[illegible]

Top 3 Vendors Were Palm, Handspring and Sony

SANTA CLARA, Calif., — Palm, Inc. The top three handheld
vendors this Christmas season all sold devices using the
Palm OS: Palm, Handspring and Sony.

Our operational improvements are visible on the income
statement. While pro forma gross margins came down
sequentially, the decline reflects management's conscious
choice to focus selling efforts on older products wi higher
cost profile. This helped our cash position, w temporarily
depressing gross margins. From this point forward, intend
to shift our focus to our newer products. Our steady st-
gross margins should rise to the vicinity of 3 . Operational
expenses were closely managed and came down f previous
quarter. We also took steps to further reduce headcou and
fixed expenses, which will benefit us in coming quar Our
operating losses, while still substantial, came down fr last

* Source: NPD, 2/02

Palm OS Markets



Palm OS Markets





Video: Interactive Computing in Education

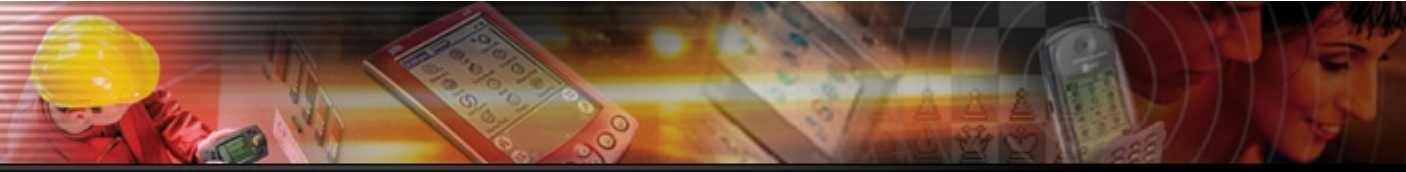
Dr. Elliot Soloway

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Demo:
Active ECG

Jeneane Brian, President and CEO
Visiting Nurses Association Home Health Systems



- Many devices, developers, applications
- A diverse market
- Industry leading installed base
  - *Great economics*
  - *Great operating efficiency*
  - *Delightful products, simple to use*
  - *Rich range of solutions*

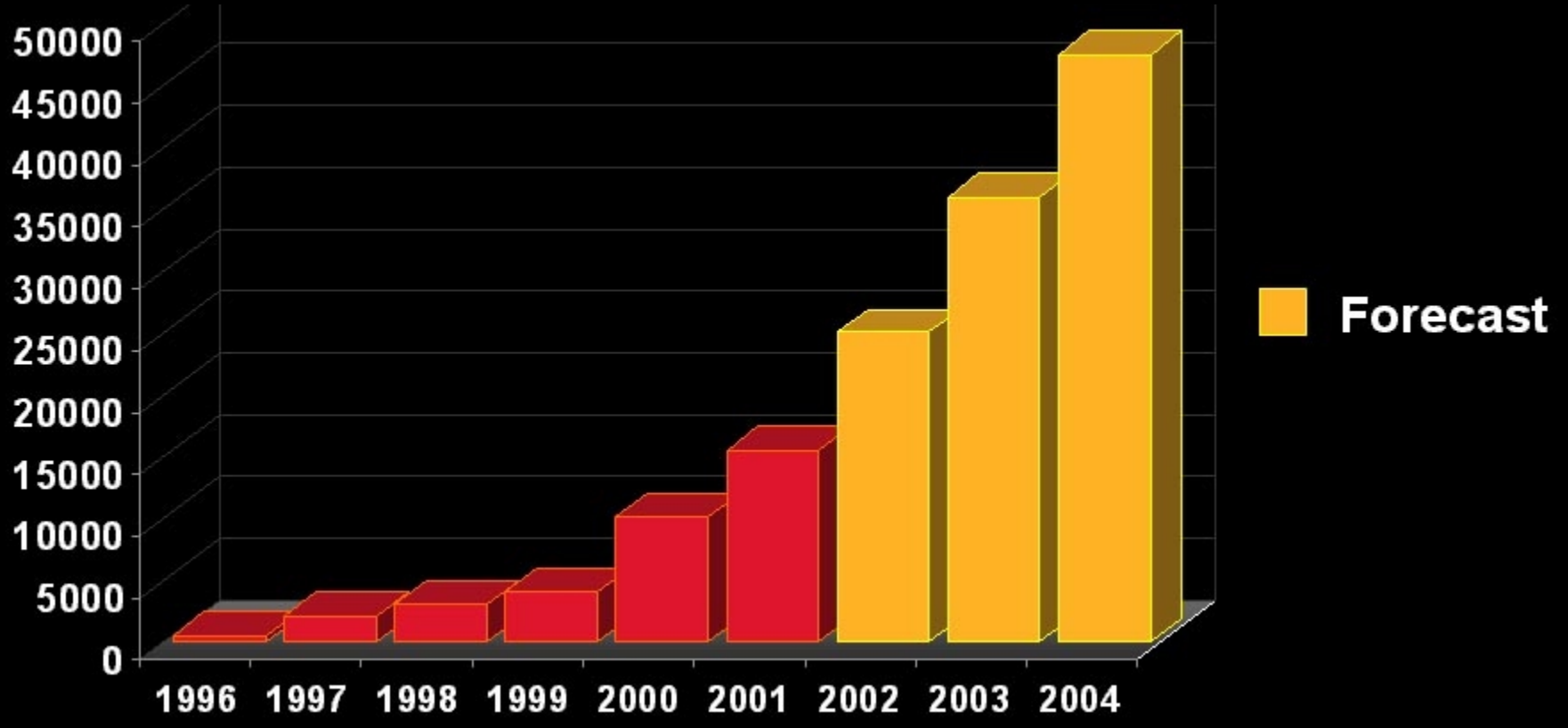
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Where Are We Going

The Next Generation: Becoming Ubiquitous

The Heart of the Indispensable Device Everybody Carries



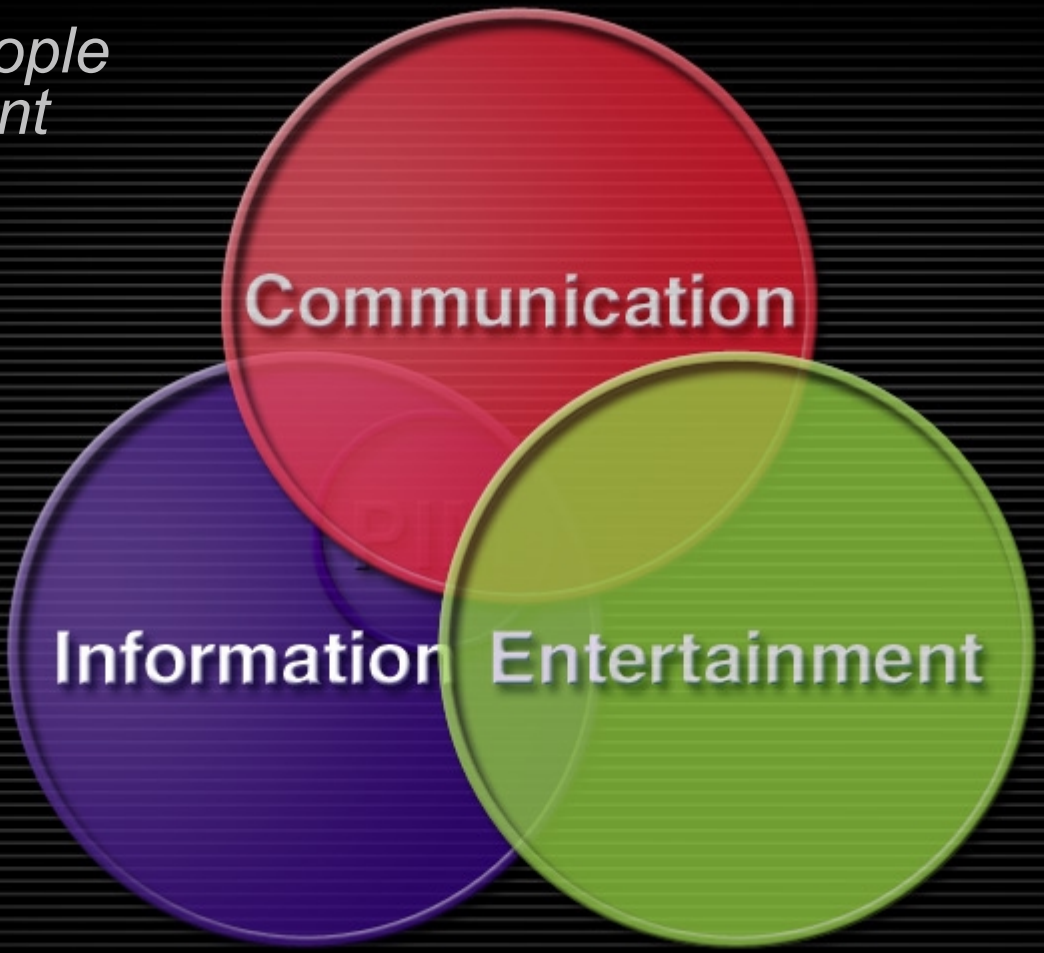
* Worldwide Unit Sales
Source: IDC

The Initial Market

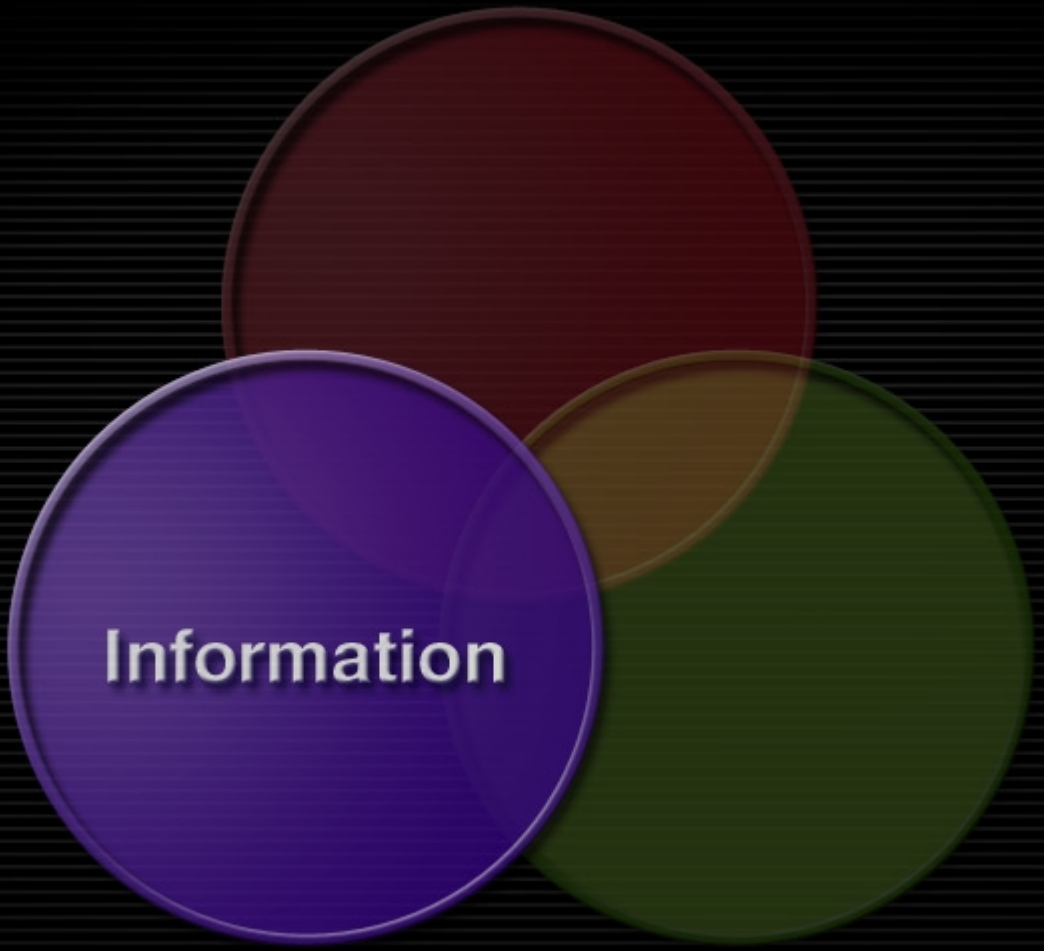


The Market Moving Forward

Different people need different things



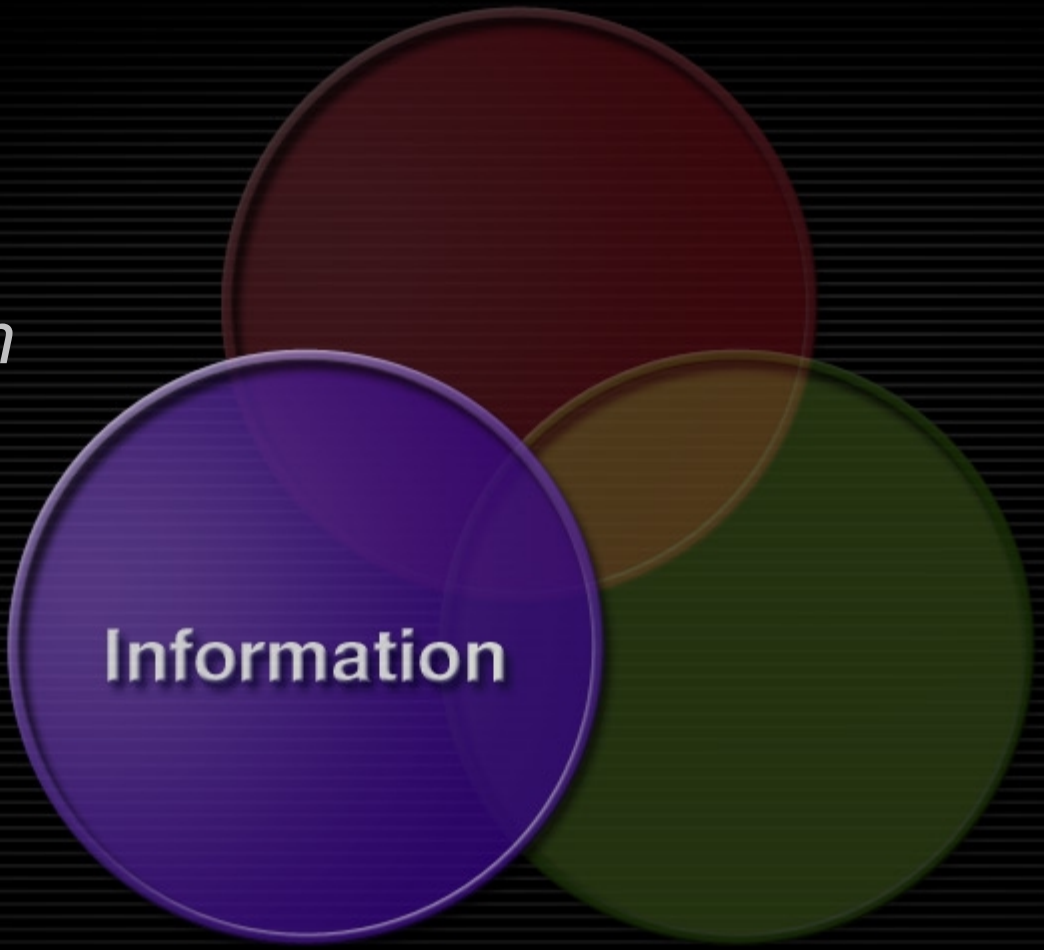
Information Management…



Information Management…

Wireless
Biometric
Security

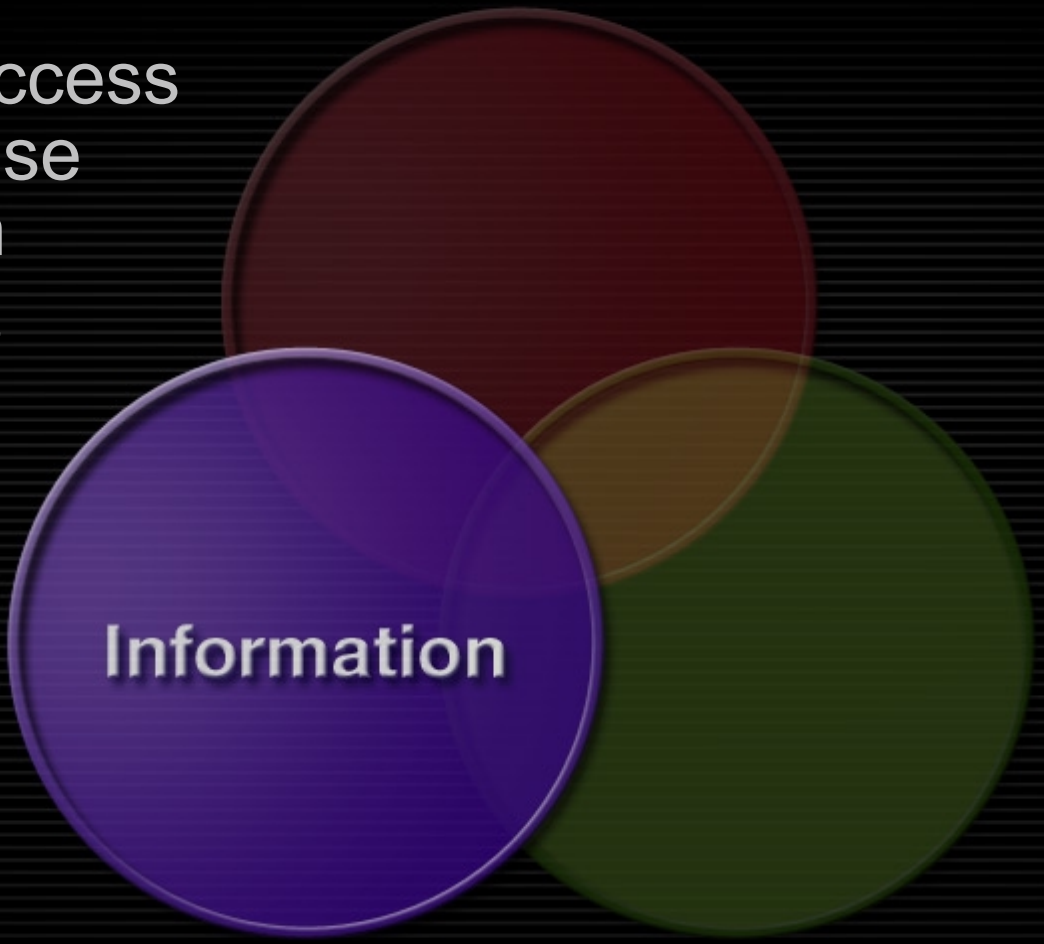
— *Veratron*



Information Management…

Wireless Access To Enterprise Information

— *Kyocera*



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Kyocera: Enterprise Information Access

Skip Speaks, President & COO
Kyocera Wireless Corp.

Product Philosophy



- It's a phone first!
  - Numeric keypad
  - Phone-like shape
  - Full Palm OS PDA functionality
- Extended battery life for long "talk" times
  - up to 5 hours of talk time and 7 days! of standby time
- CDMA Trimode – PCS/cellular/analog
  - Seamless roaming throughout North America
  - Faster data rates than other digital wireless technologies

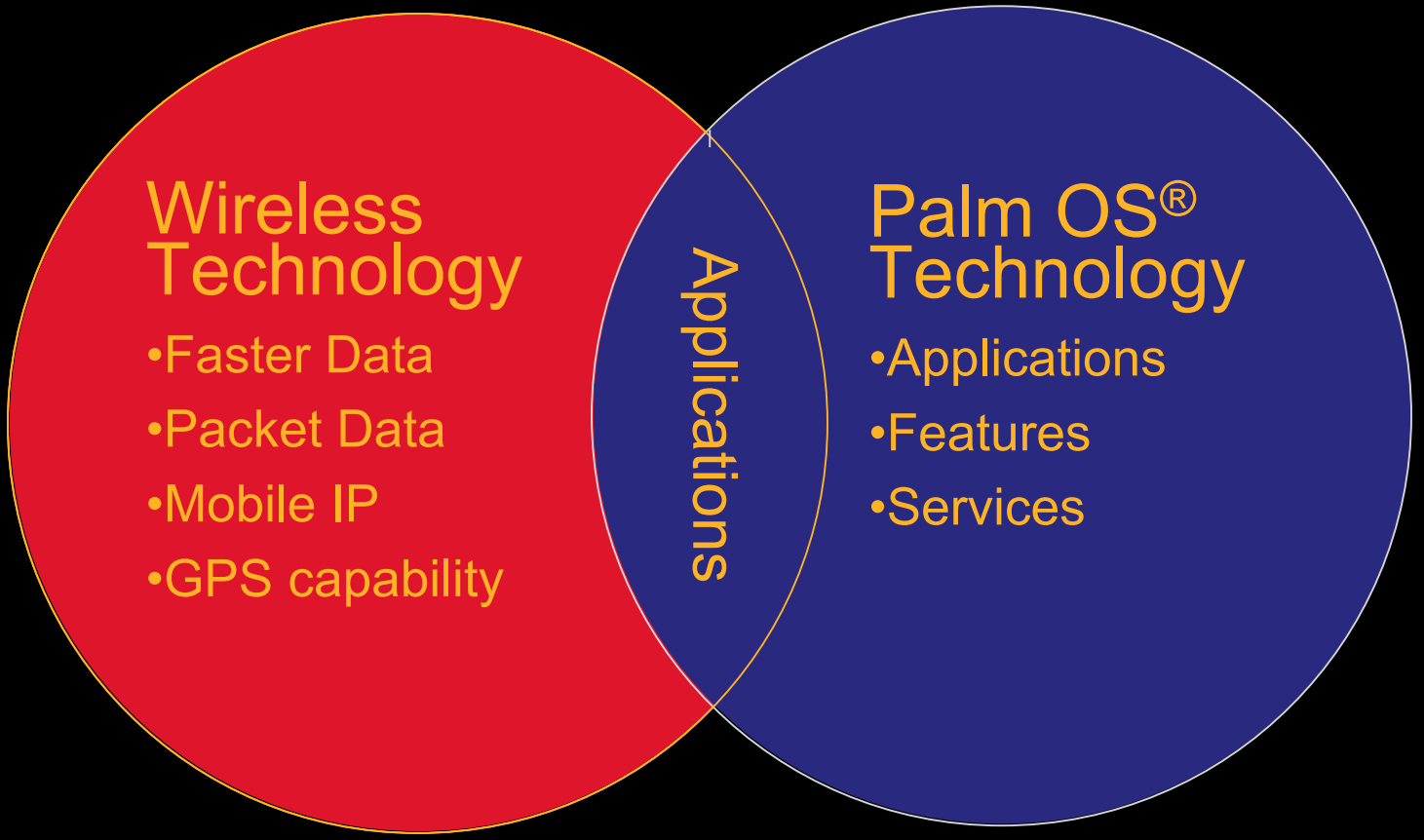
Siebel Sales Wireless 7 on the Smartphone

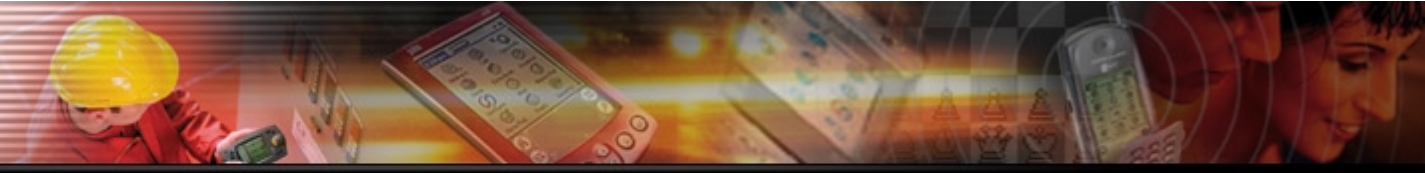


- Increase sales effectiveness
- Improve sales management to increase revenue
- Wireless messaging support
  - Plus phone and wireless email
- Easy access to specific data
- Intuitive personalized interface

SIEBEL eBusiness
Premier Platform Partner

The Innovation Convergence





For Further Information:

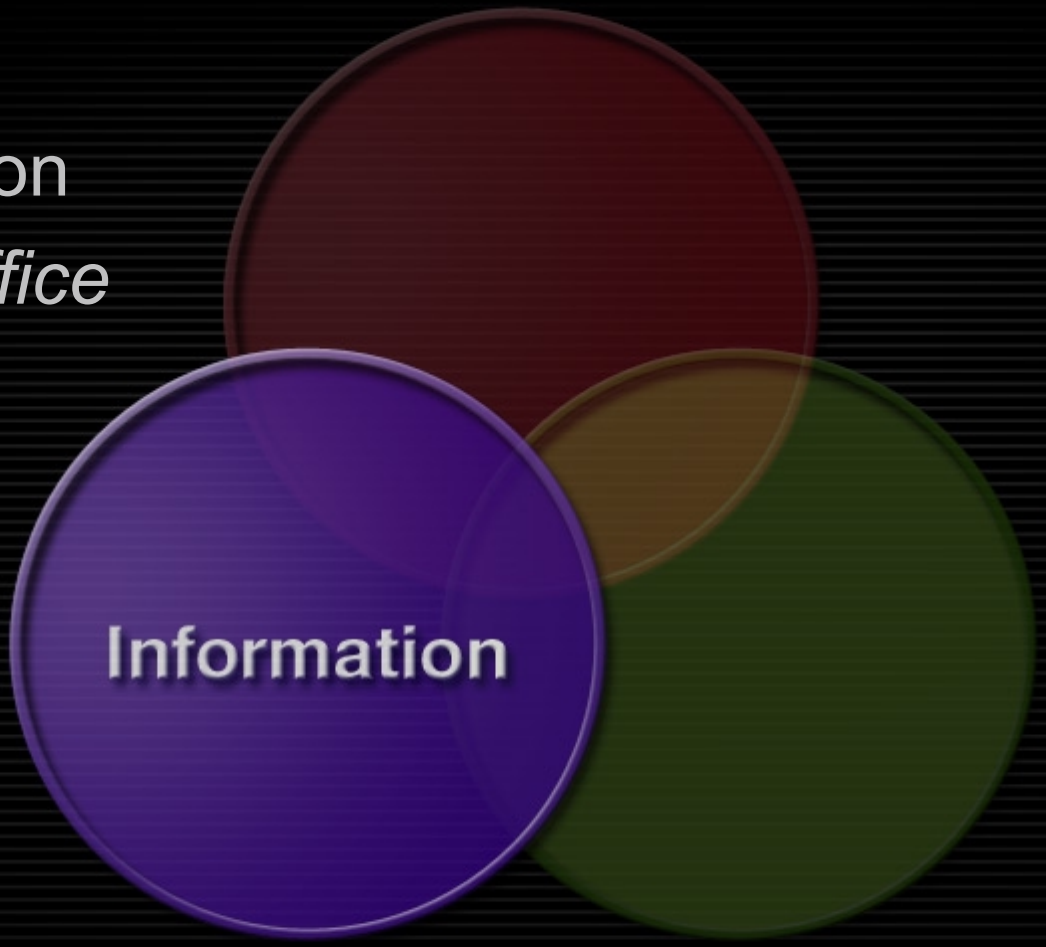
- Session 80: Projecting the Future
- Session 93: The Kyocera Smartphone – New eBusiness Avenues for the Palm Economy
- Session 510: Enterprise Applications for the Kyocera Smartphone
- Session 760: Insights from Palm OS Licensees: The Future of the Mobile Computing Industry
- Visit our booth or web site:

www.kyocerasmartphone.com

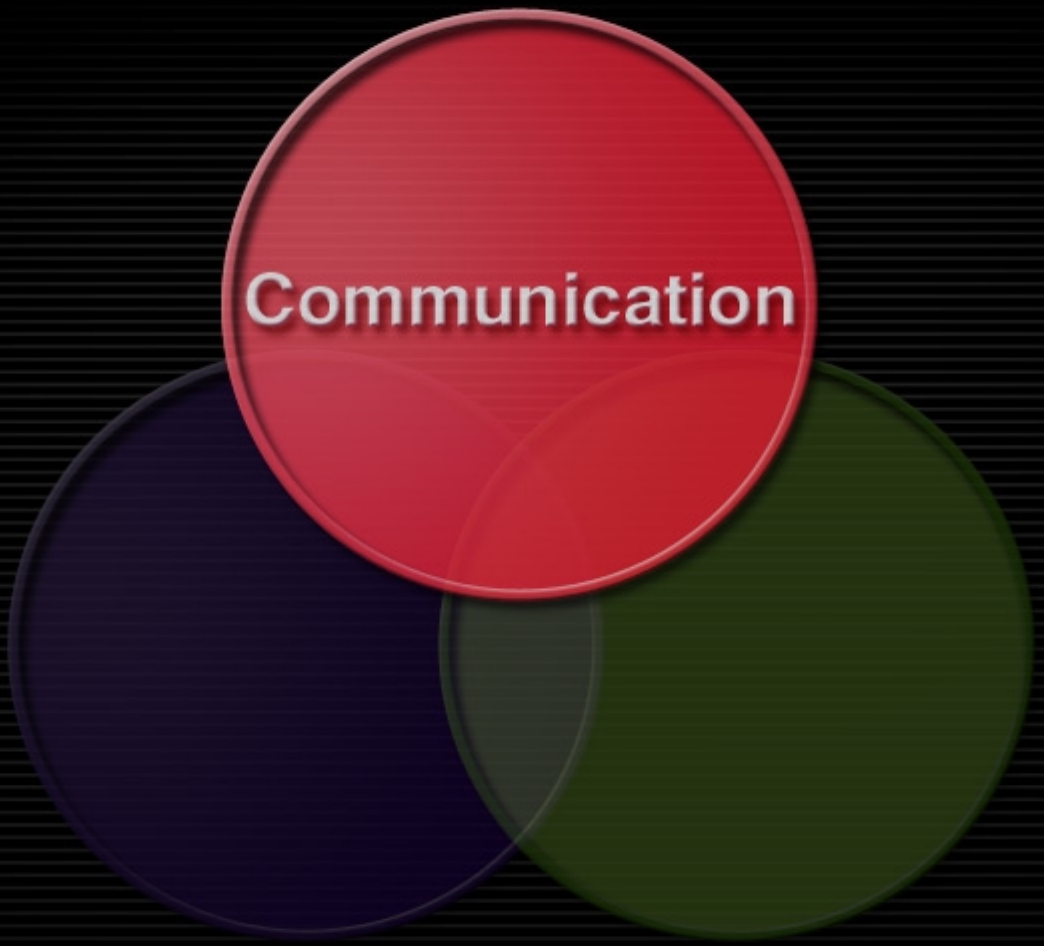
Information Management…

Document Collaboration

— *QuickOffice*



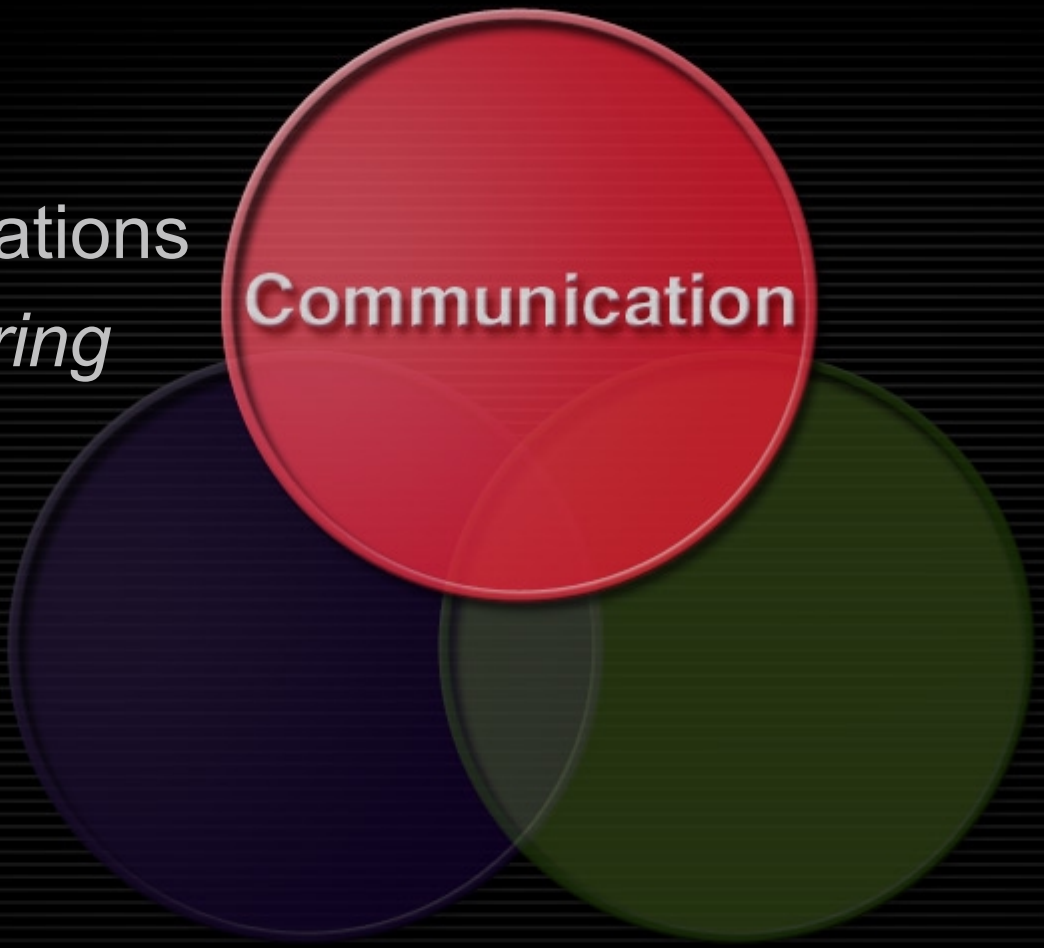
Communication…



Communication…

Integrated
Wireless
Communications

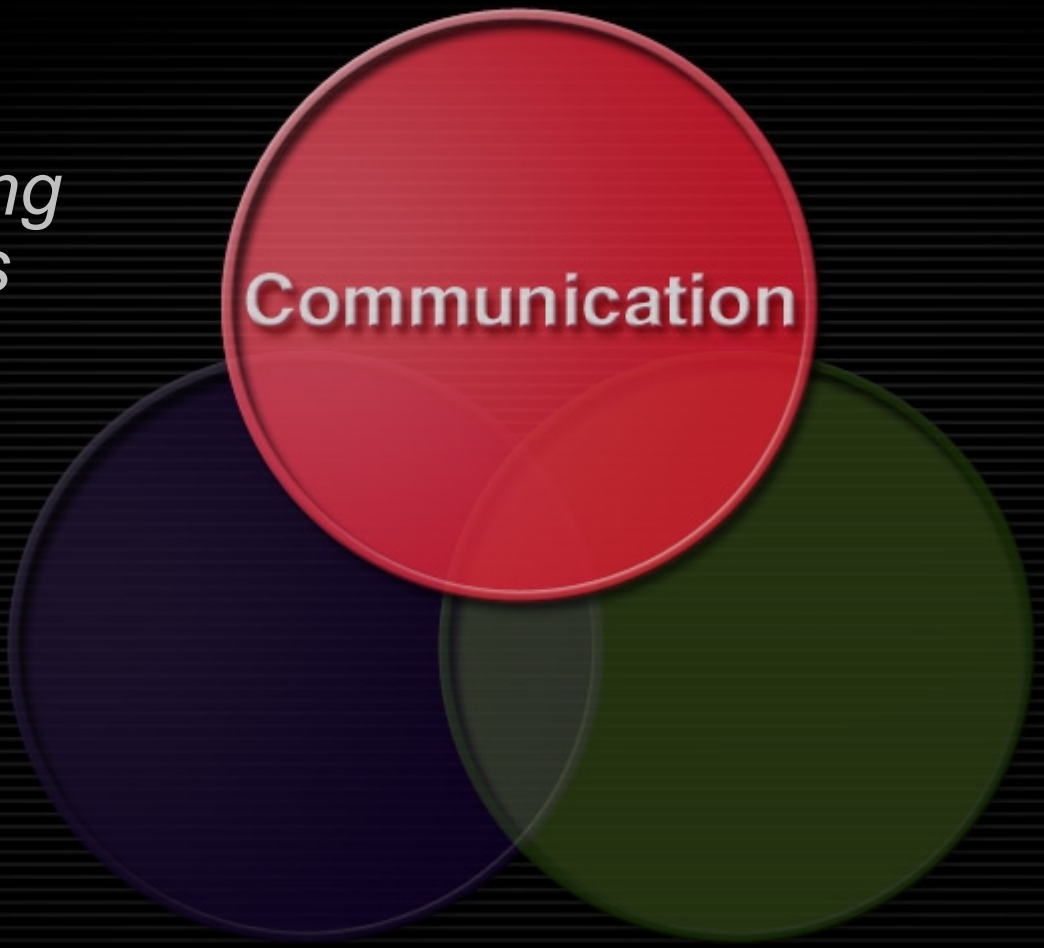
— *Handspring*



Communication…

Learn Trac

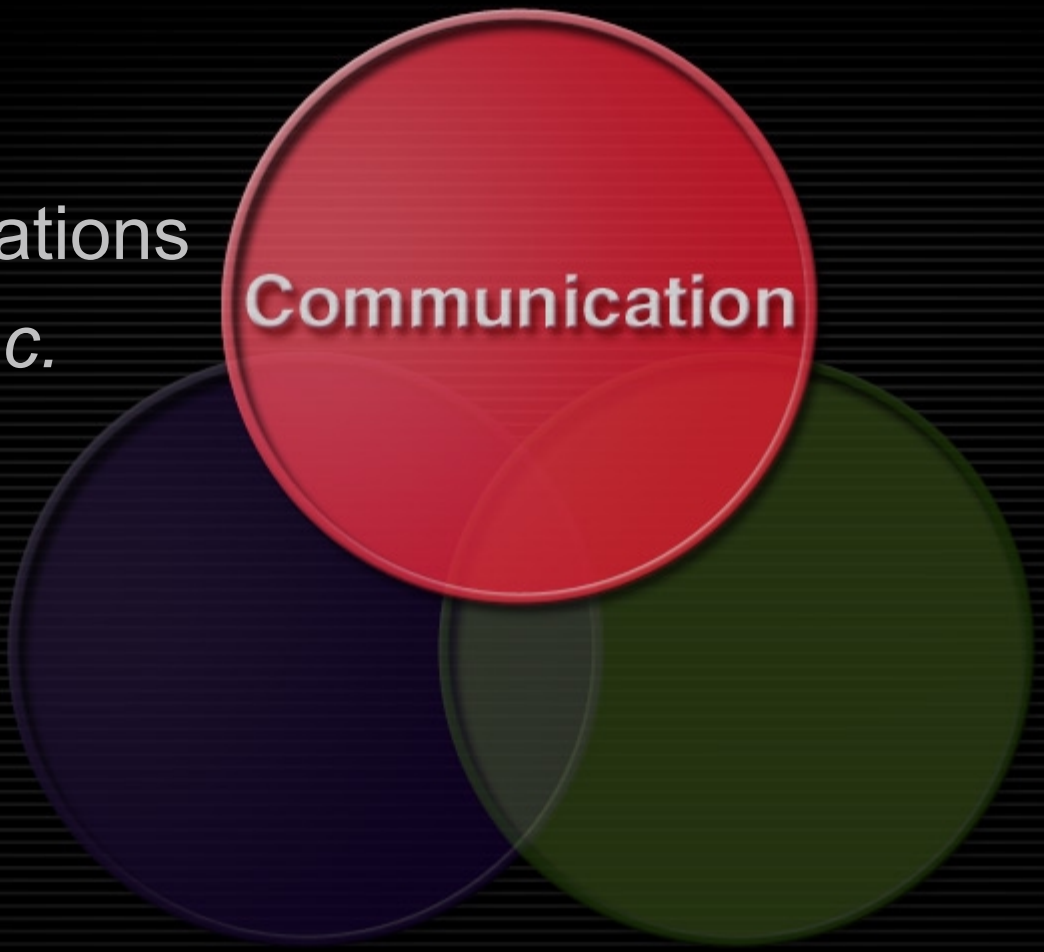
— *eLearning Dynamics*



Communication…

Integrated
Wireless
Communications

— *Palm, Inc.*



PalmSource®
Conference and Expo



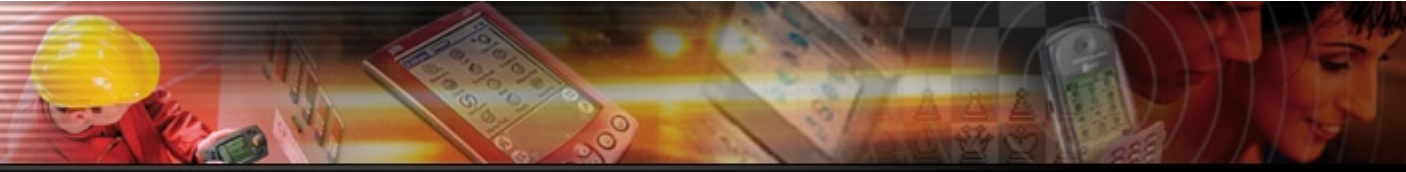
Demo: Palm Solutions Group

Ken Wirt, Senior Vice President of Marketing
Palm Solutions Group

Initial Results from Palm Store Spectacular



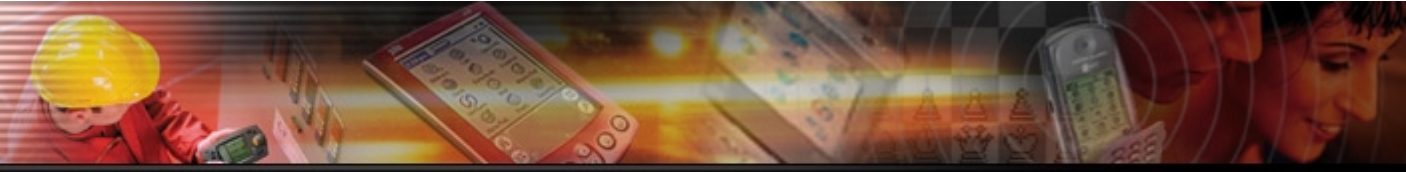
- > 300,000 people signed up to be notified
- > 100,000 interested in reserving
- Record single day sales at the Palm Store



Customer and Press Response to i705

"The secure transmission of corporate email -- behind our firewall – combined with their productivity functionality is a winner."

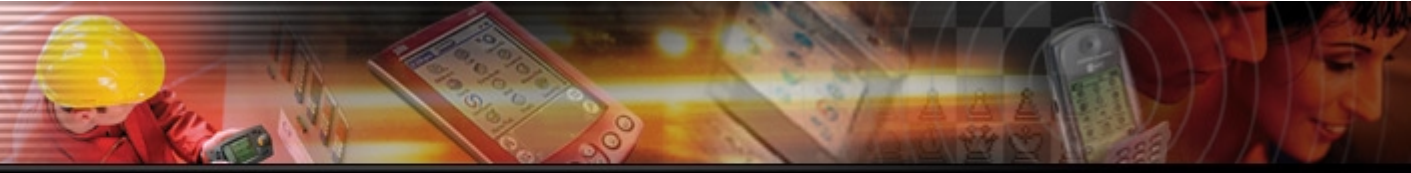
David Kistler, Vice President, Staples, Inc.



Customer and Press Response to i705

"Importantly, the i705 marks a concerted effort by Palm to tackle the corporate marketplace."

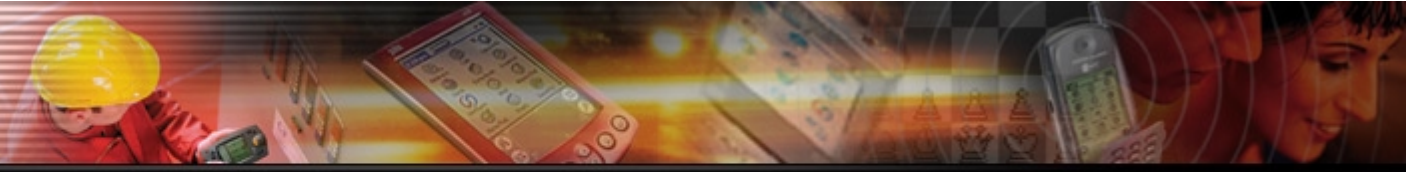
PUI-WING TAM, Staff Reporter of THE WALL STREET JOURNAL



Customer and Press Response to i705

"I also used a clever folding keyboard manufactured by Think Outside to create longer e-mail messages and began to realize that, at least on short trips, I might now be able to leave my laptop behind completely since e-mail is the key reason I use a computer when traveling."

Tim Bajarin, Special to ABCNEWS.com

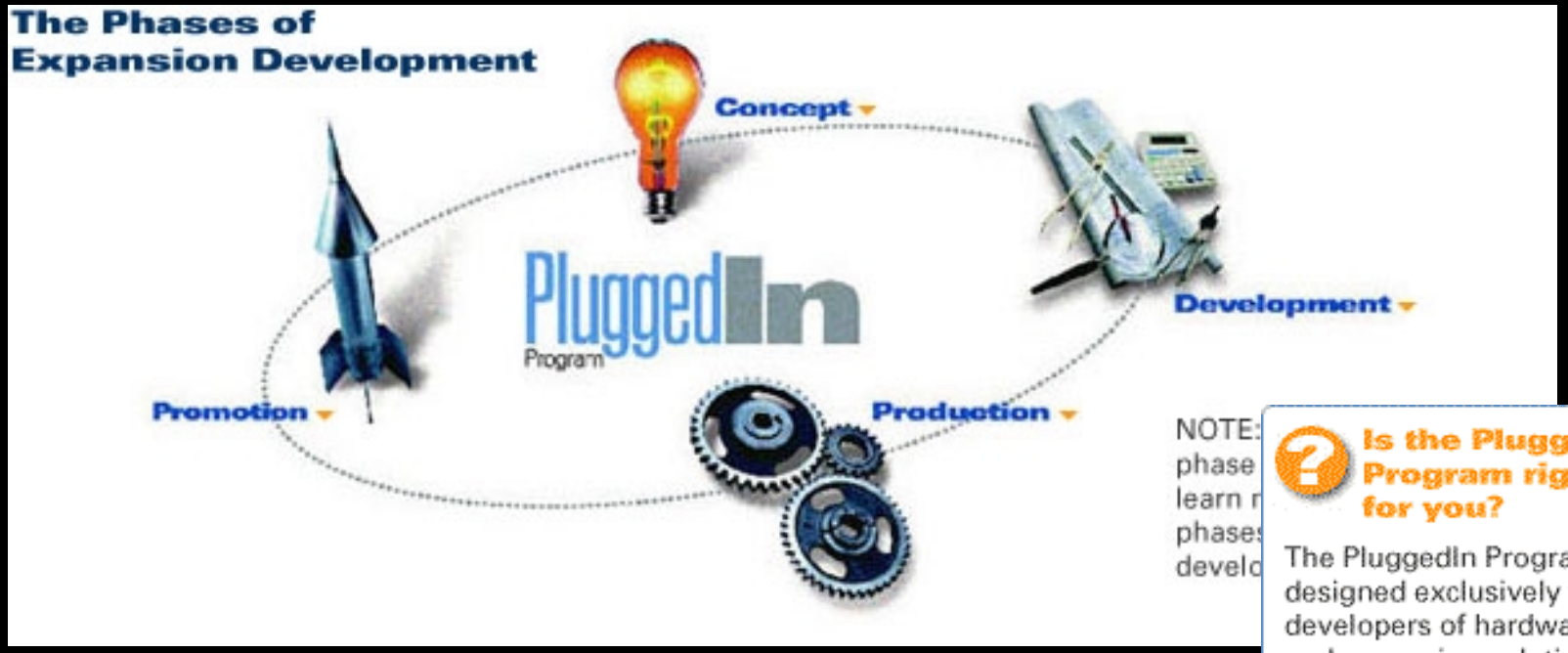


Customer and Press Response to i705

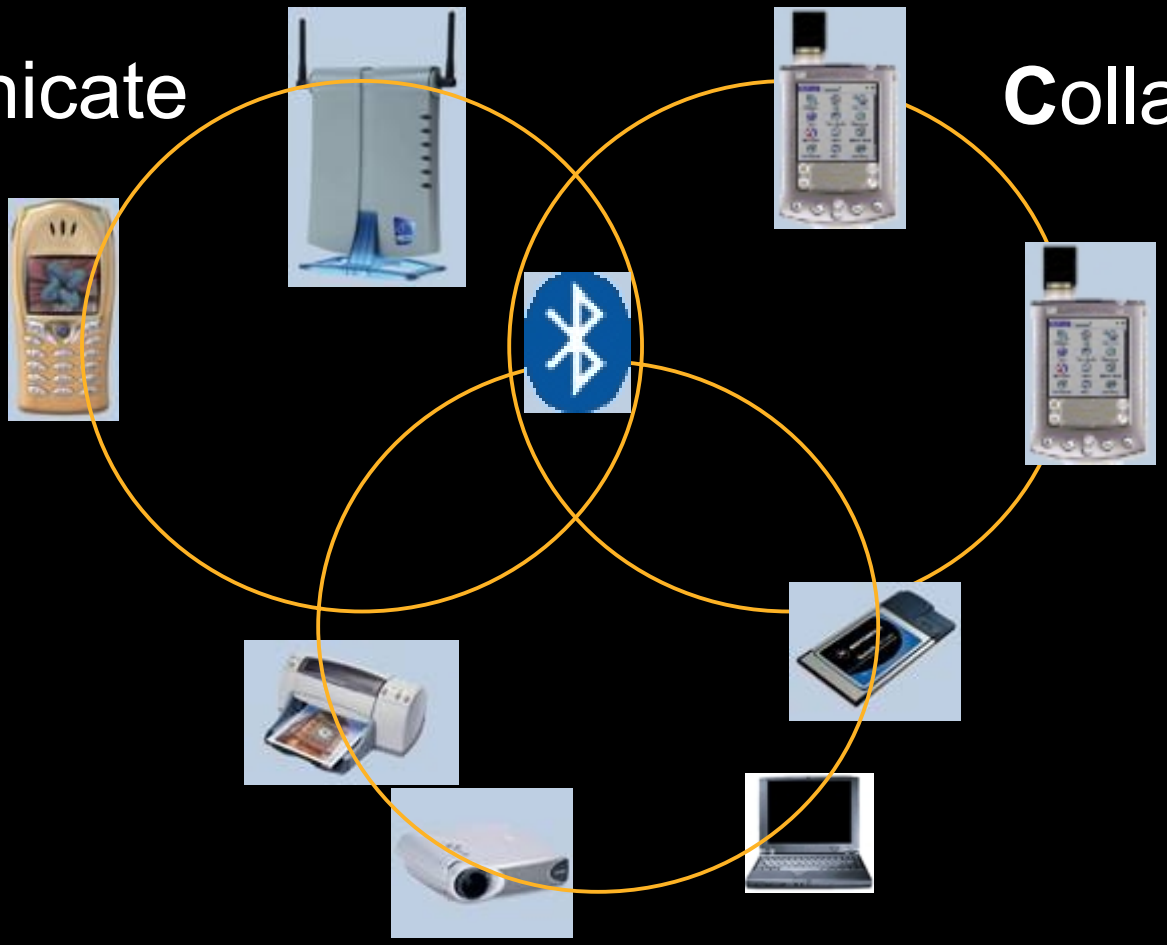
"And, unlike BlackBerry users, they [i705 users] can chat over America Online's instant message program from any place covered by the Cingular wireless network that runs the service."

Chris Gaither, New York Times

Find Out More at www.palm.com/pluggedin



Bluetooth Value Proposition

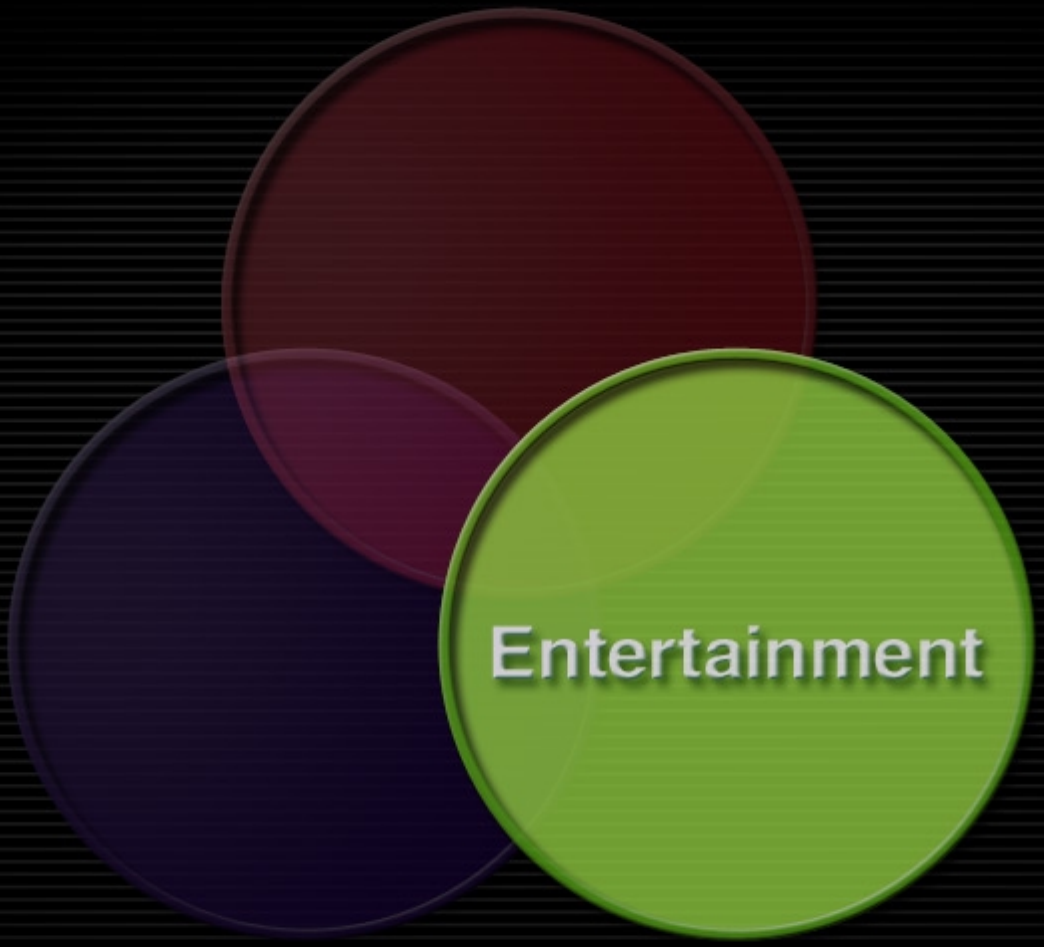


Bluetooth…and More

- Bluetooth SDK and HDK available now to registered developers
- Commercial Bluetooth SDIO card available soon
- More information about Bluetooth development support at www.palm.com/pluggedin
- Hear more about PAN, LAN, WAN and Enterprise from Todd Bradley, COO and EVP, Palm Solutions Group, at 2:00 p.m. today



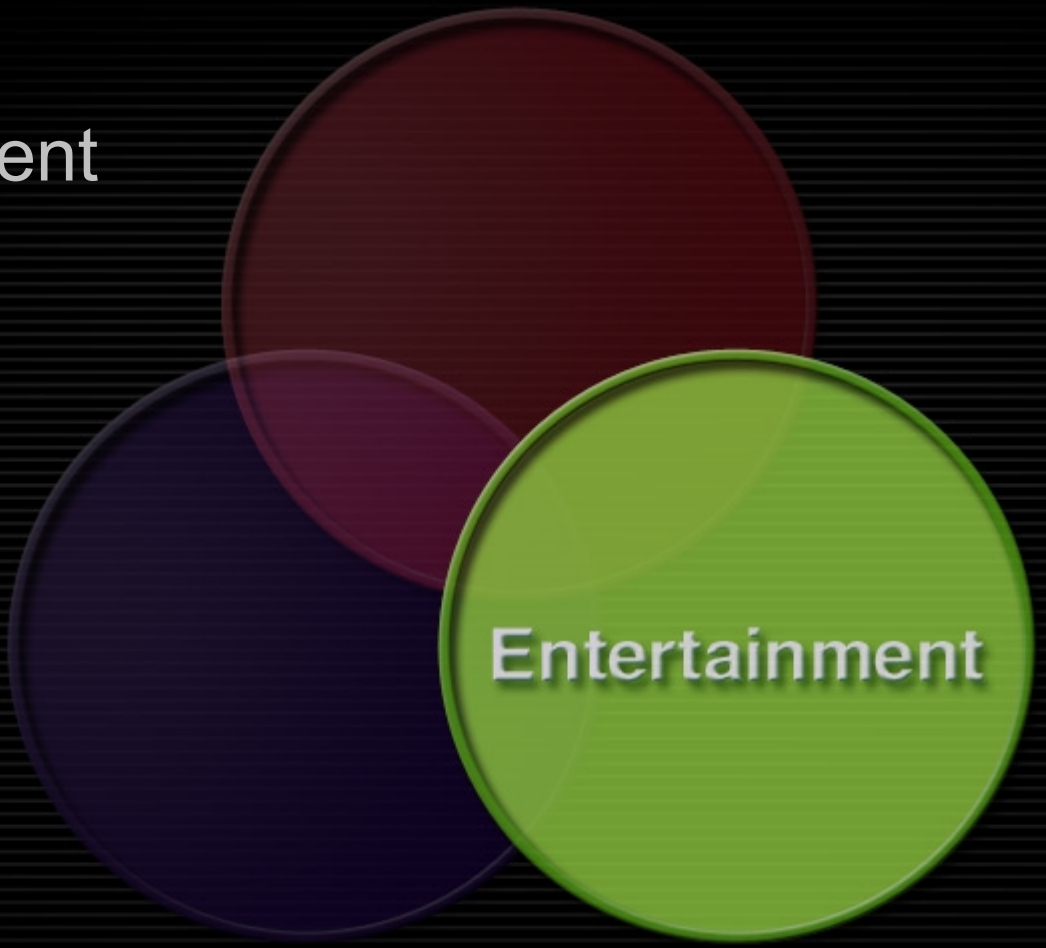
Entertainment…



Entertainment…

True Entertainment Devices

— *Sony*





How We'll Get There

The Palm OS Subsidiary Name



The Palm OS Subsidiary Name



PalmSoft

The Palm OS Subsidiary Name



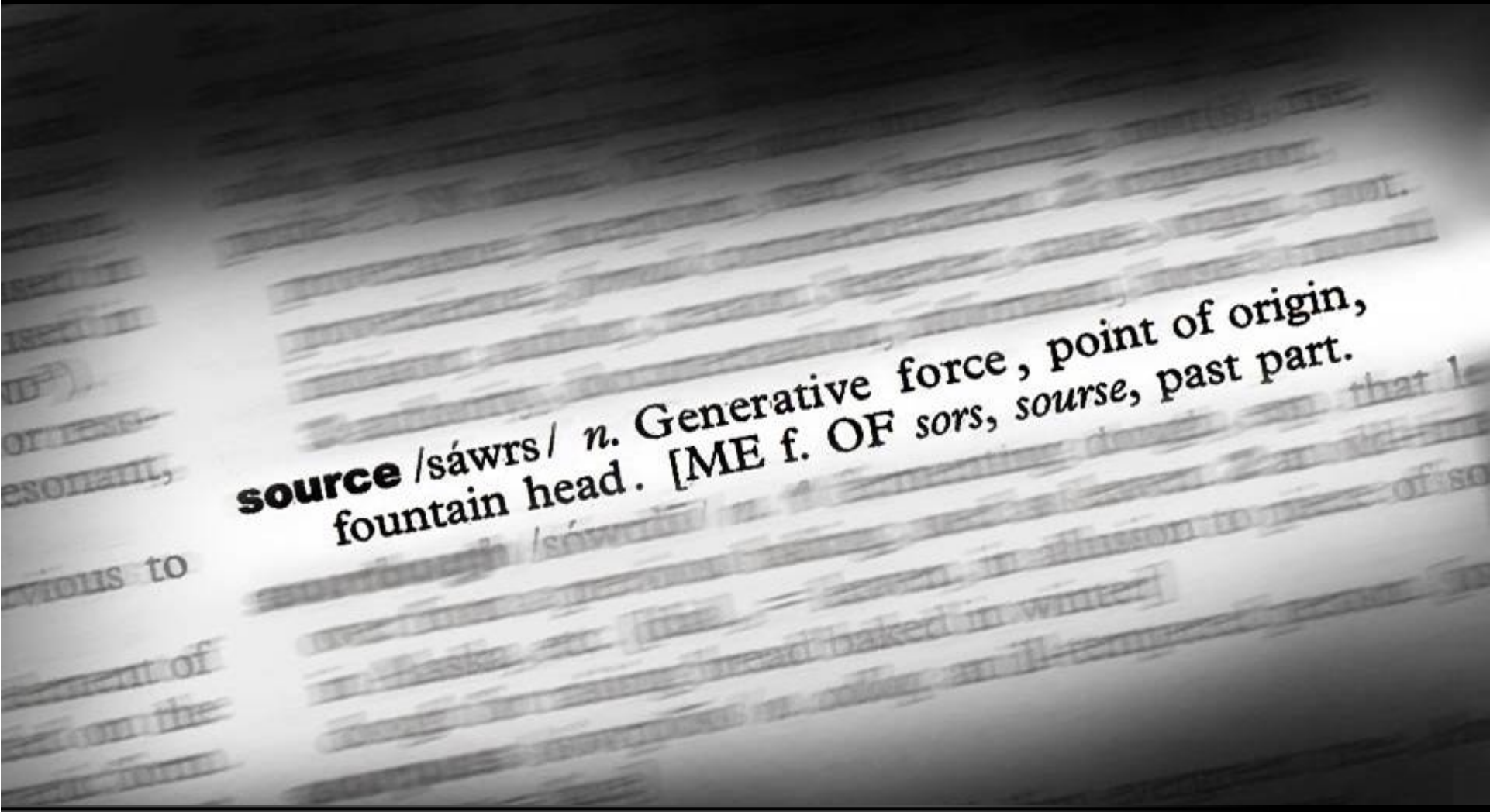
Palm OS

…boring

The Palm OS Subsidiary Name



PalmSource


source /sáwrs/ n. Generative force, point of origin,
fountain head. [ME f. OF sors, sourse, past part.

Changes



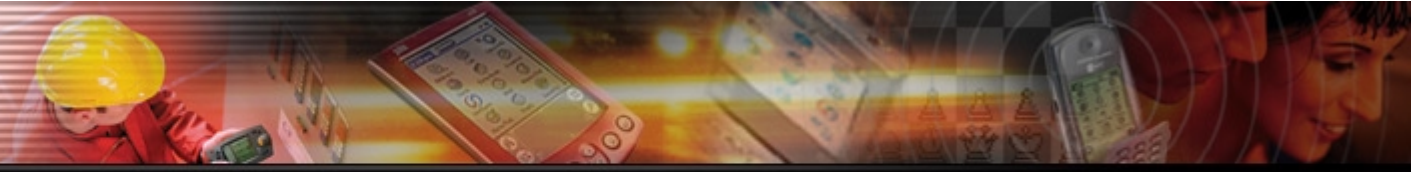
Exciting Roadmap



Be



Partnerships



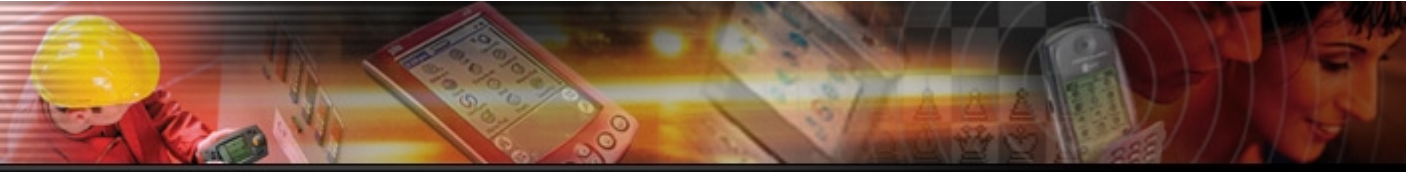
Palm OS 5…a Big First Step

- ARM: Performance with compatibility
  - *Intel, Motorola, TI*
- Security
- Multimedia
  - *High resolution screens*
  - *Sound playback and capture*
  - *Customizable colors*
- Enhanced Wireless
  - *802.11b and Bluetooth*

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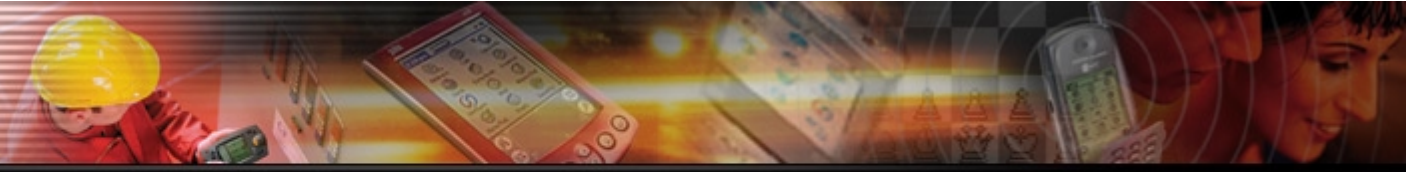


Demo:
Palm OS® Version 5…a Big First Step



Palm OS Future…
Faster Innovation

- 2.5/3G networks
- New wireless technologies
  - *Bluetooth*
  - *802.11xx*
- New kernel services
- Even more security
- Even better compatibility
  - *with Microsoft and other standards*
- Enhanced multimedia
- Revolution in applications



The Palm OS Business

An Enhanced Business Model
…Bring developer diversity
to the customers

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Demo:
The Palm OS Business Cambio

The Palm OS: Six Years Into the Future





PalmSource®

Conference and Expo